blinkit

Blinkit Product Strategy

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blinkit

What it does

Blinkit is a platform that allows users to order groceries, fresh produce, and other daily essentials online and have them delivered to customers' doorstep quickly

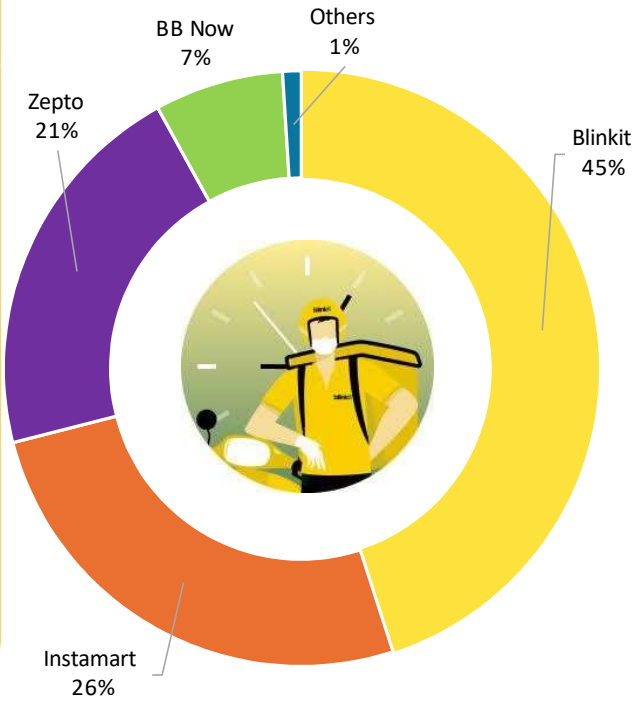
How it operates

- **Hyper Local Delivery**: Delivering within a very small, specific geographic area, often a neighborhood or a few blocks, prioritizing speed and convenience
- **Dark store model**: nerve centres of 10-minute delivery. Mini warehouses which are 3,000-4,000 square feet in size and store the essential needs which are delivered with nearby areas on an order.

Value to customers:

- **Speed and Convenience**: delivering products quickly and efficiently, with a promise of 10-minute delivery
- **Time-Saving**: Quick and convenient solution for customers' daily needs at the comfort of their homes
- **Wide Product Range**: Groceries, fresh fruits and vegetables, cakes, bakery items, meats, seafood, cosmetics, mobiles, electronics, and baby care products, etc.
- **Single-App Solution**: Customers can find a variety of products from local stores, all accessible through a single app, simplifying their shopping experience
- **Competitive Pricing**: High-quality products at affordable prices

Market Share

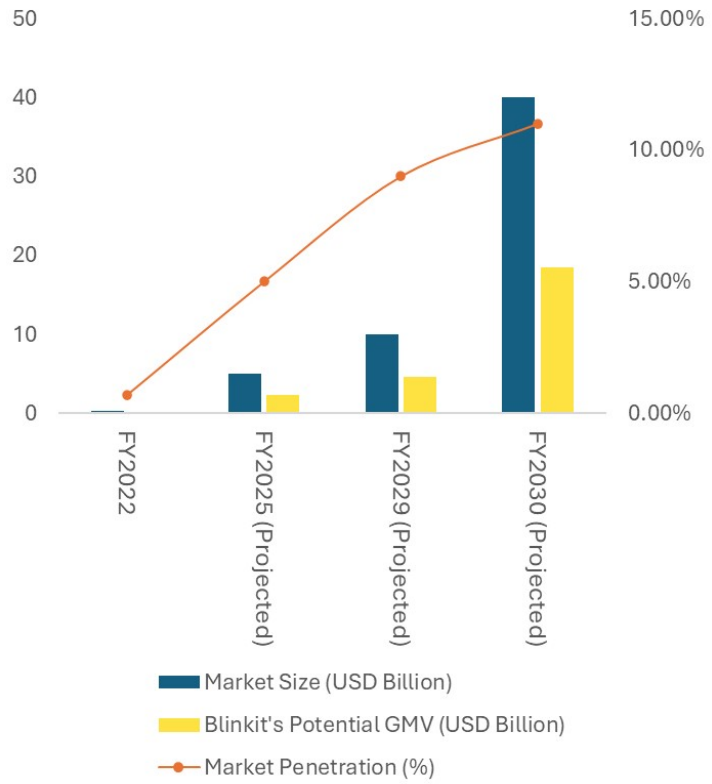


Aspect	Flipkart	blinkit	zepto	Instamart	bigbasket
Delivery time (mins)	14	9	11	15-20	12
Free delivery (Rs)	>9 9	>199	>199	with Swiggy One membership	>299
Daily orders (total)	2 ,500	6,00,000	5,00,000	5,50,000	4,00,000*
Dark stores (total)	40	639	350	500	400-450
Cities operational in	3	39	10	25+	30+
Stock keeping units (SKUs)	70 00-10,000	10,000-15,000	10,000	10,000+	10,000
Average Order Value (AOV) (Rs)	20 0-400	460	607	460	400-450

Key Insights

- **AOV Needs Further Boosting:** AOV of ₹460, whereas its closest competitor Zepto's AOV is at ₹607, despite thrice lesser penetration- improving AOVcan boost economics and profitability
- **Expansion into More Cities:** Blinkit operates in **3G cities**, while BB Now is in **30+ cities** and Instamart in **25+**.
- **High Free Delivery Threshold:** Blinkit's **free delivery threshold (₹1GG)** is higher than Flipkart (₹99) and could be a barrier to frequent low-value orders
- **Better Subscription Model to Drive Retention:** Swiggy Instamart benefits from **Swiggy One membership**, making it more attractive for users who want free delivery.

Market Potential



Issue Category	Key Concerns	Reported Frequency (%)	Impact on Retention
Product Quality	Expired/spoiled items (e.g. rotten eggs)	30-40%	
	Damaged goods upon delivery	20-25%	
Customer Service	Ineffective issue resolution (refund/replacement refused)	35%	
	Delayed response from customer support	15-20%	
Delivery Issues	Incorrect or missing items	25-30%	
	Late deliveries beyond the promised timeframe	10-15%	
Hygiene s Safety	Warehouse hygiene issues (poor storage, expired items)	N/A (Regulatory concern)	
In-App Experience	App crashes or freezes during ordering	15-20%	
	Payment failures or double charges	10-15%	
	Difficulty navigating the app interface	5-10%	
	Lack of real-time order tracking	10-15%	

Why Higher AOV is important?

		Higher AOV	
₹ 407	**Gross Merchandise Value (GMV)**	₹ 600	
₹ 101	Commission Rate (25%)	₹ 150	More commission earned
₹ 25	Delivery Fee (Avg.)	₹ 35	Higher revenue from premium orders
₹ 126	Total Revenue per Order	₹ 185	Increased total revenue
	Cost Components		
₹ 71	-₹55 Rider Cost (fixed) -₹55	₹ 130	Delivery cost remains same
₹ 36	-₹35 Warehousing C Packing -₹40	₹ 90	Slight increase in cost
-₹4	-₹40 Discounts C Promotions -₹60		Promotional cost slightly higher
-₹19	-₹15 Miscellaneous (cancellations/app costs etc. -₹15		Stays the same
-₹19	**Net Profit per Order**	₹15	**Higher AOV leads to breakeven or profitability even though the cost components increase, it is balanced out by higher revenue per order**

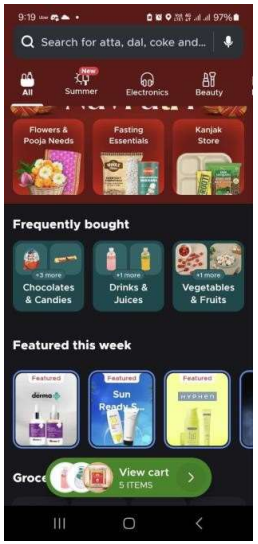
	User Attributes	User Behaviour	Pain Points
Persona 1	**Age**:28 **Profession**: IT Professional **Gender**:M/F/Others **City Type**: Tier 1 **Spending Capacity/Month:** 7k – 10k	• Frequently orders snacks, beverages, and essentials • Prefers express delivery for convenience	• Complains about occasional order delays and high surge pricing • Poor quality products
Persona 2	**Age**:32 **Profession**: Working Mother **Gender**: F **City Type**: Tier 1 **Spending Capacity/Month:** 6k – 12k	• Orders fresh groceries, baby care products, and organic items regularly • Loses trust easily	• Limited organic product availability and higher prices vs markets • Unavailability of baby products • No swift redressal system for bad quality/rotten/expired goods • Too much time in searching and choosing for the right product • Wants One time payment for monthly purchases
Persona 3	**Age**:19 **Profession**: College student **Gender**: M/F/Others **City Type**: Tier 2 **Spending Capacity/Month:** 2k – 4k	• Orders late-night snacks and quick meals • Prefers discounts and cashback offers	• Delivery radius restrictions • Cannot track the expiry date of goods • Wants BNPL options

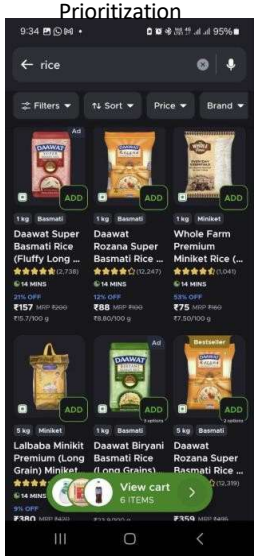
	User Attributes	User Behaviour	Pain Points
Persona 4	**Age**:35 **Profession**: Homemaker **Gender**: F **City Type**: Tier 1 **Spending Capacity/Month:** 6k – 10k	• Weekly grocery shopping, bulk purchases for the family • Regular buying potential	• Delivery radius restrictions • Cannot track the expiry date of goods • Wants BNPL options
Persona 5	**Age**:26 **Profession**: Startup Founder **Gender**: M/F/Others **City Type**: Tier 1 **Spending Capacity/Month:** 10k – 15k	• Orders premium and imported grocery items • Values time-saving and fast delivery.	• Feels the app UI could be improved • Dislikes occasional missing items in orders • Too much time in searching and choosing for the right product
Persona 6	**Age**:45 **Profession**: Small Business Owner **Gender**: M **City Type**: Tier 2 **Spending Capacity/Month:** 8k – 12k	• Uses Blinkit for bulk purchases of beverages and packaged snacks	• Limited variety in wholesale packs, occasional delivery slot unavailability
Persona 7	**Age**:30 **Profession**: Doctor **Gender**: M/F/Others **City Type**: Tier 2 **Spending Capacity/Month:** 10k – 15k	• Orders healthy snacks, ready-to-eat meals, and fresh fruits; prefers contactless delivery	• Inconsistent product freshness • Unavailability of healthy alternatives

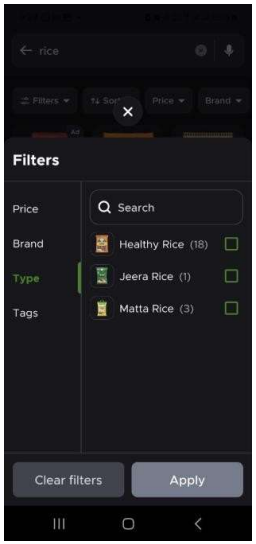
Overview | Competitor landscape | Problem Analysis | User Persona | **User Journey** | Solutions and Prioritization | Feature representation | Metrics

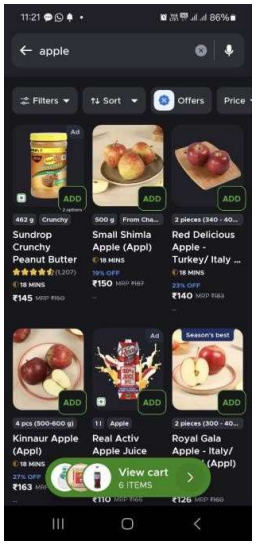
User Prioritized: Persona 2

- High Purchase Power
- Frequent orders
- Higher cart values









- Proper categorization
- Voice search enabled
- Vernacular search enabled

- Filter and sort easily accessible
- Bestseller mentioned
- Rate mentioned

- About the product is detailed

- Variety available

- Cognitive overload in comparing rates
- Regular consumed rice missing- only premium
- Decision fatigue
- Higher quantity package 'Out of Stock'
- Multiple listings of same item

- Vague filter option: "Healthy rice"
- Limited filter options

- Larger quantity not available
- No 'Notify Me'

- Prices way above market prices
- Rate not mentioned- increases cognitive overload
- Irrelevant search results

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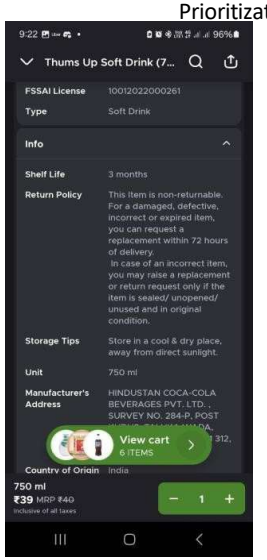
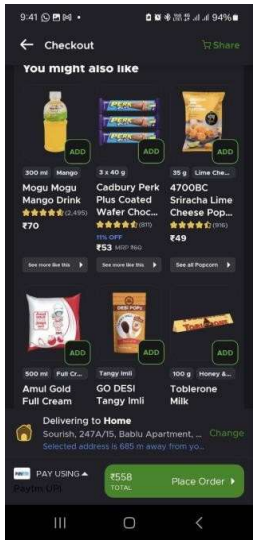




- About the product as per packaging is mentioned
- Sweets/snacks displayed at checkout is a nice touch

- No filter/sort options available
- Huge choice and cognitive load

- Date of manufacturing/packaging not mentioned
- Searching and selecting individual products take to much time

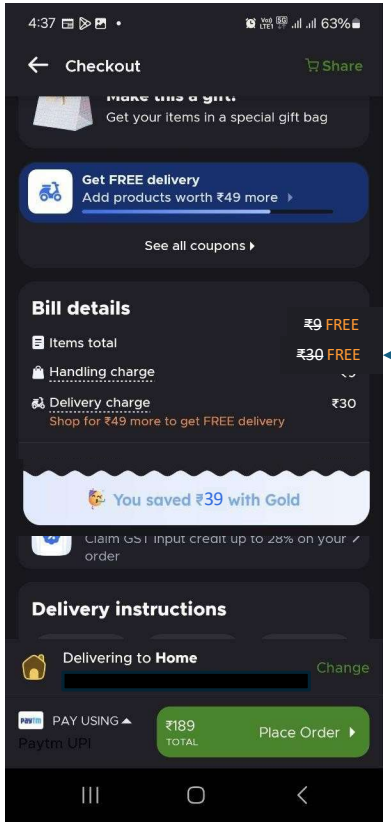
- Milk at checkout is irrelevant, more relevant upselling choices required
- High Handling charge and MOV for free delivery

User issues and Business Impact

- **Cognitive Overload:** Rate comparison/ Rates not mentioned in fruits/vegetables
- **Filter options:** Misses details/ insufficient/missing in some cases
- **Stock-out:** Larger quantities unavailable for staple products
- **'Notify Me' unavailable:** Under quantity-wise selection
- **Expensive:** Prices higher than market average in case of fruits and vegetables
- **Search:** Irrelevant results/too much time in searching for individual products and selecting
- **Important tags**: Date of Manufacturing/Packaging missing
- **Delivery**: Higher Minimum Order Value(MOV) for free delivery/surge pricing and high handling charge

Issue	Impact on AOV	Impact on Retention
Cognitive Overload	Confusion and lack of transparency reduces cart size	Frustration leads to switching to competitors
Insufficient Filters	Decision fatigue discourages bulk purchases.	If users struggle to refine choices, they may abandon the app altogether.
Stock-outs for Staples	Users can't complete grocery shopping in one go, lowering AOV	Frequent unavailability causes users to switch to competitors
No 'Notify Me' for Quantity Selection	Users don't wait for restock; they reduce order size or leave.	Lack of restock alerts means lost sales and lower repeat purchases.
High Prices on Fruits s Vegetables	Customers buy fewer high-margin fresh items	Perceived overpricing makes users reluctant to return for grocery shopping.
Search Issues	Users abandon carts if they can't find products quickly	Frustration with search results leads to lower app stickiness.

	Description	Reach	Impact	Cost	Effort	Priority Score
Smart cart additions from handwritten list/dish	Automatic cart formation by simply uploading a file/image/dish entered	L	L	M	L	6
"Recommended:" badge	Marks the item based on user preference- lowest rate or highest rating or premium quality	L	M	S	M	3
Blinkit inclusion in Zomato Gold Membership	Free delivery at lower MOV and zero handling charge	M	L	M	S	12
'Notify Me' for quantities	Clubs quantities in a single item listing and notifies user of a certain quantity is back in stock	M	L	S	S	6
"Date of Packaging" in About Section	Inclusion of date of packaging/Best Before date is About section	S	L	L	L	3



Blinkit inclusion in Zomato Gold Membership

User issues and Business Impact

Impact Area	Expected Effect
Customer Retention	Increased retention due to added value for existing Zomato Gold users, leading to more frequent Blinkit orders.
AOV (Average Order Value)	Higher AOV as customers will try to maximize benefits from the membership
New User Acquisition	More Zomato Gold members may start using Blinkit, increasing Blinkit's user base
Order Frequency	Users may place more frequent orders to maximize their membership benefits
Revenue Impact	More transactions and higher-order values drive revenue growth and Gold Memberships

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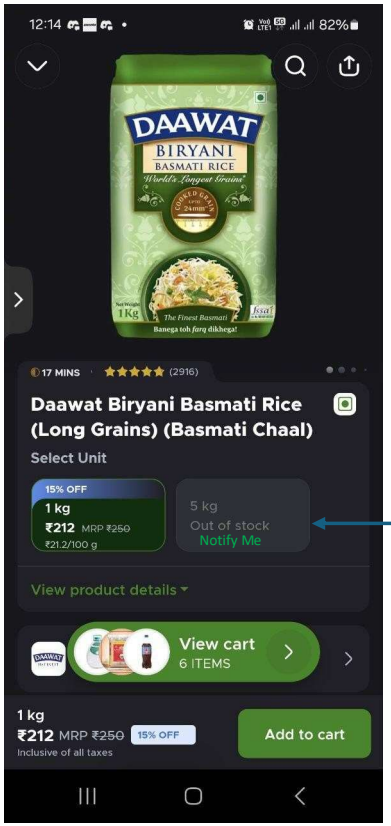
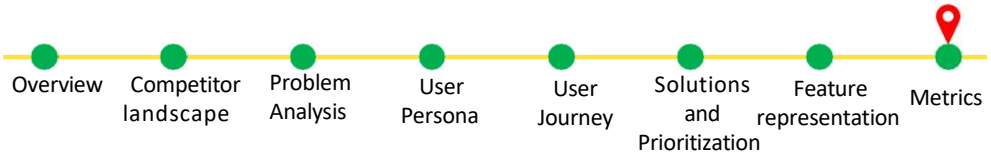


'Notify Me' for quantities

User issues and Business Impact

Impact Area	Expected Effect
Stock Availability Awareness	Users can order preferred quantities instead of dropping out due to unavailable pack sizes
Customer Retention	Improved experience reduces frustration, increasing repeat purchases
AOV (Average Order Value)	Users are more likely to buy in bulk or larger packs when notified about availability
Conversion Rate	Users who initially couldn't find their desired quantity return to place an order
Revenue Impact	Increased completed orders due to lower stock-out friction
Inventory Optimization	Data on demand for specific pack sizes helps optimize inventory and fulfillment



North Star Metric:

Gross Merchandise Value (GMV): GMV reflects the overall transaction volume on Blinkit, capturing both **order frequency** and **AOV**, making it the strongest indicator of business growth

Counter Metrics

- **Cart Abandonment Rate:** If too many users abandon their carts, it could indicate friction in pricing, availability, or user experience
- **Stockout Reduction %:** If inventory isn't optimized, frequent stockouts could lead to user frustration and lower retention

Primary Metrics

- **Retention Rate:** Ensures users keep coming back, directly impacting GMV
- **AOV (Average Order Value):** A higher AOV increases the overall revenue per transaction
- **Orders per User per Month:** Tracks engagement and frequency of purchases
- **Conversion Rate:** Measures how well Blinkit turns visitors into paying customers

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Thank You!